

STARBUCKS MARKETING REPORT

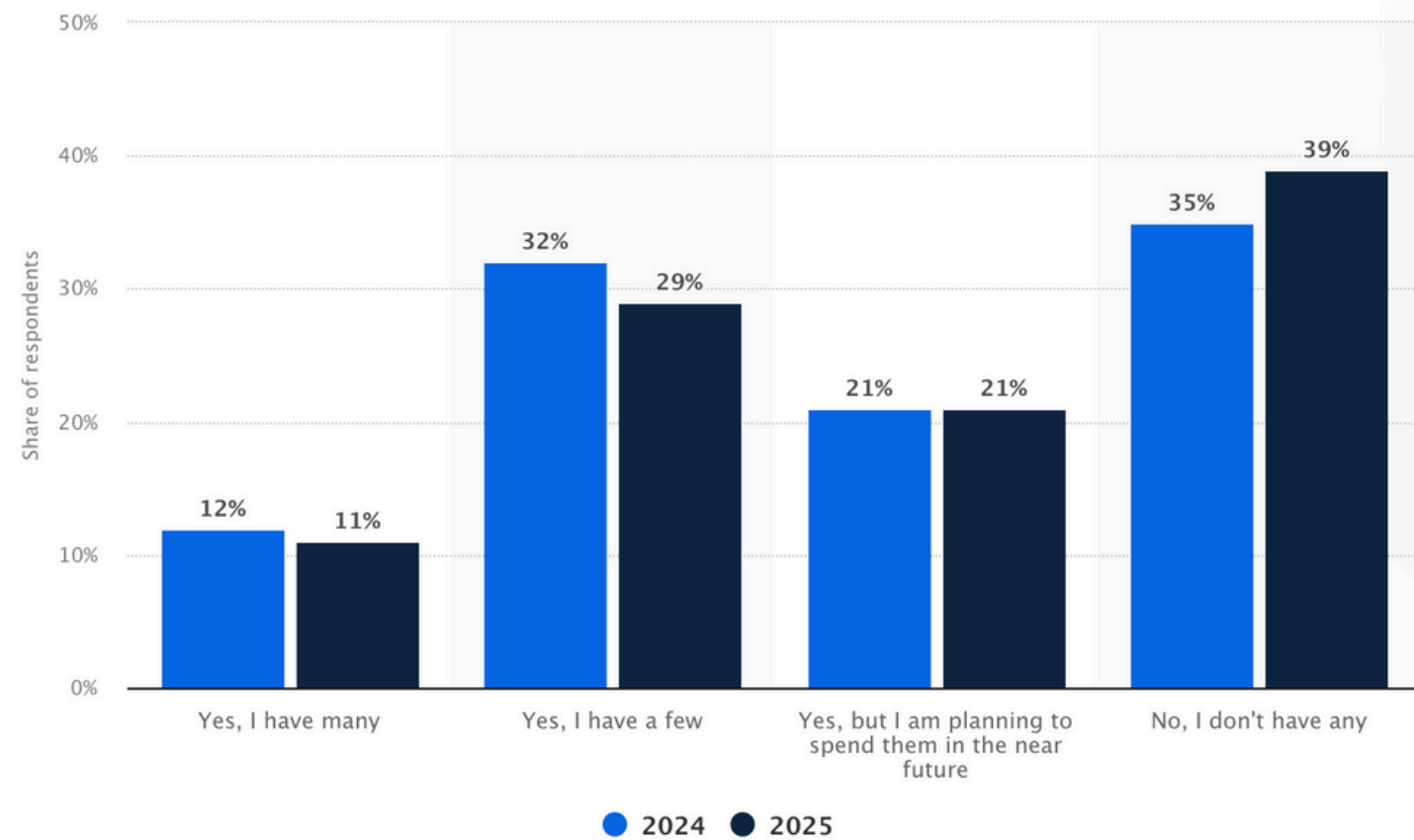
PRESENTED BY PERRIN MARION



THE GIFT CARD INDUSTRY

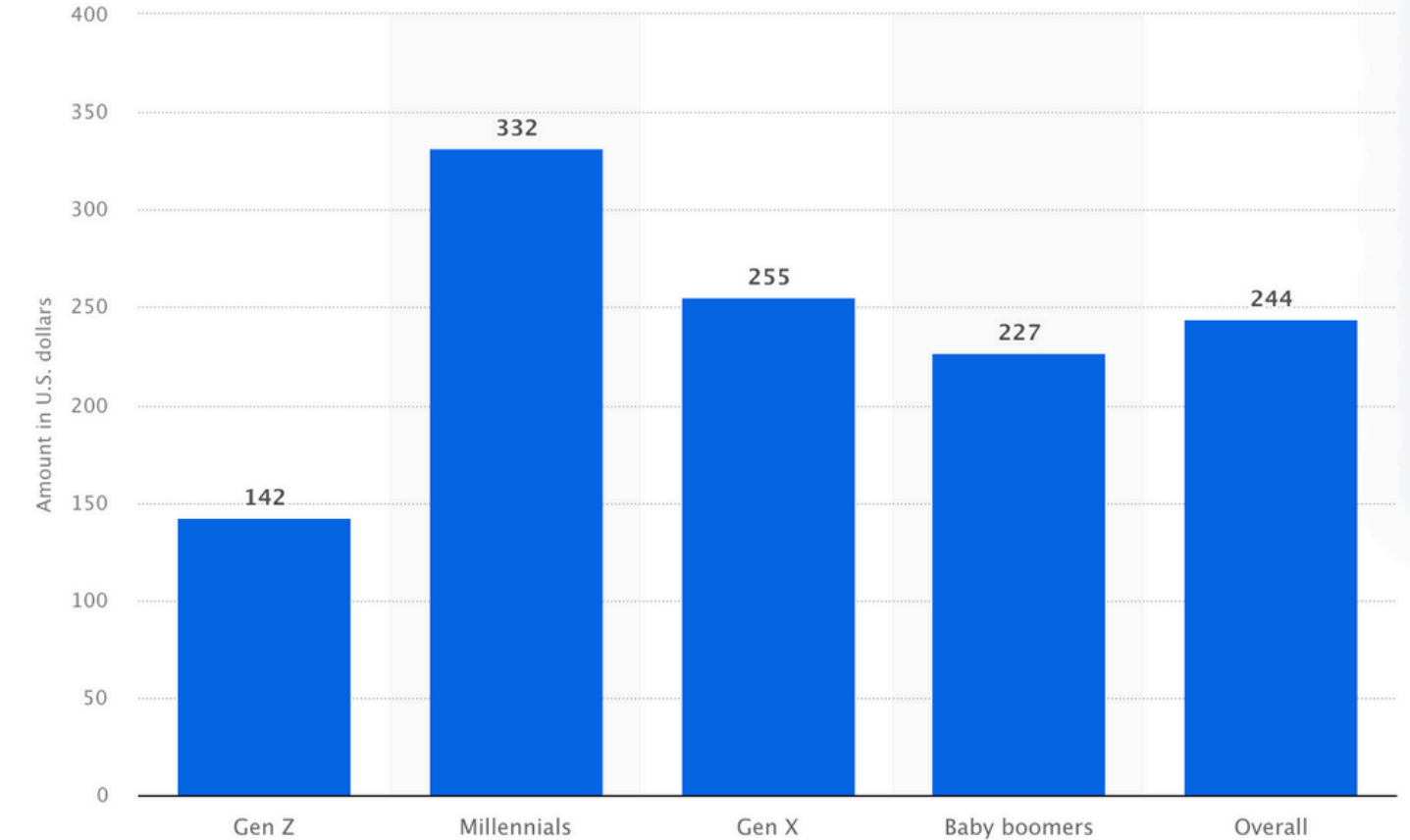
In total, Americans spend \$300B on gift cards annually [8]

HOW MANY UNUSED GIFT CARDS?



[2]

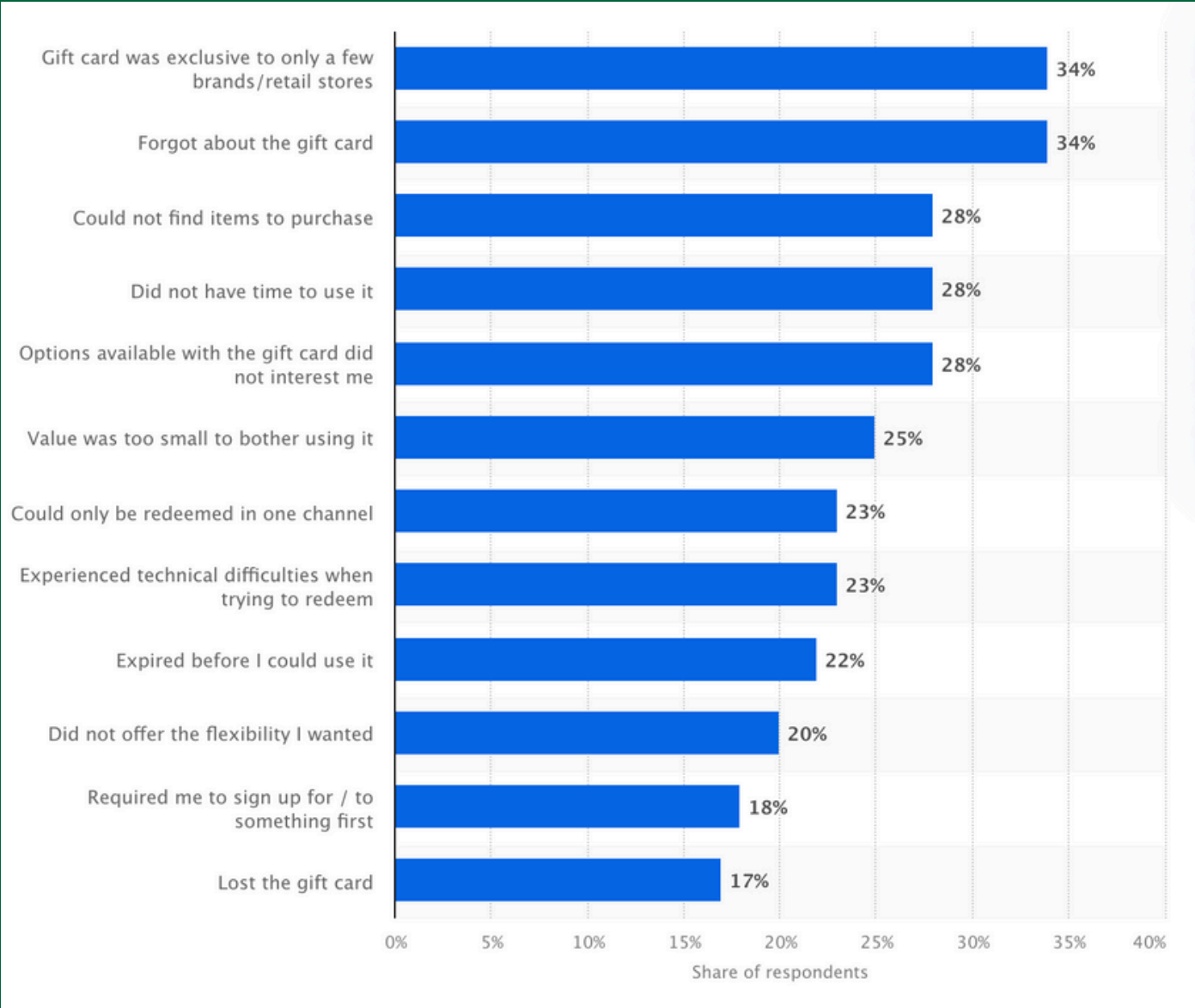
AVERAGE AMOUNT OF UNUSED MONEY BY GENERATION (PER PERSON)



[4]

THE GIFT CARD INDUSTRY

REASON FOR UNUSED GIFT CARDS



- The total value of unused gift cards is 23 billion dollars [10]

ARMENIA GDP

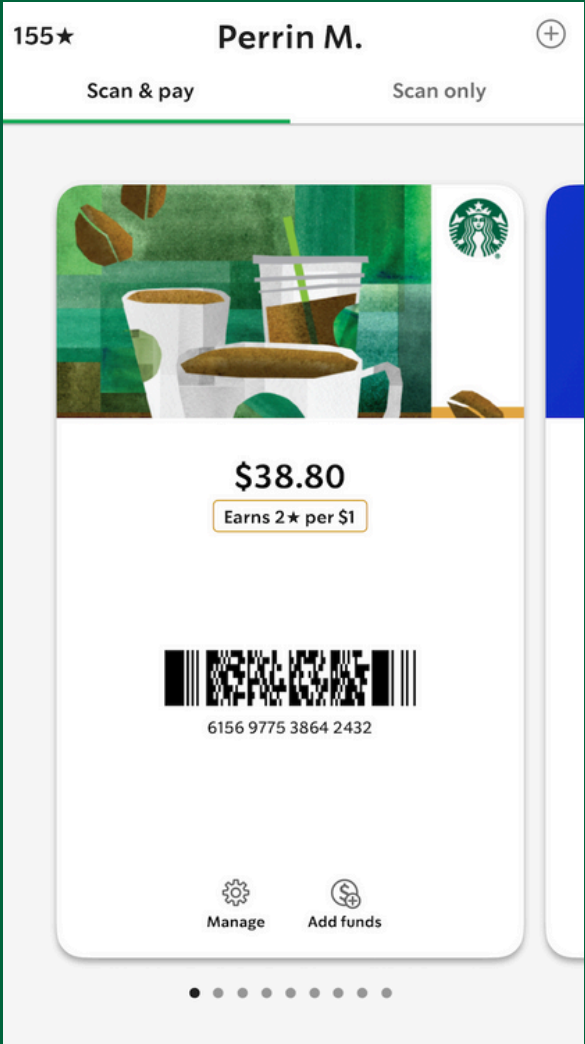
24.068 Billion

ZAMBIA GDP

27.578 Billion

GEORGIA GDP

30.848 Billion



STARBUCKS

“To be the premier purveyor of the finest coffee in the world, inspiring and nurturing the human spirit — one person, one cup and one neighborhood at a time” [6]

With a variety of classic, fun, and innovative beverages and snacks Starbucks caters to so many demographics

In 2023, sales amounted to approximately 31.6 billion U.S. dollars [9]



THE SUCCESS & ADVATAGES



01

OVER \$3 BILLION LOADED ONTO THESE GIFT CARDS

02

MONEY GETS TO BE USED UPFRONT AS REVENUE

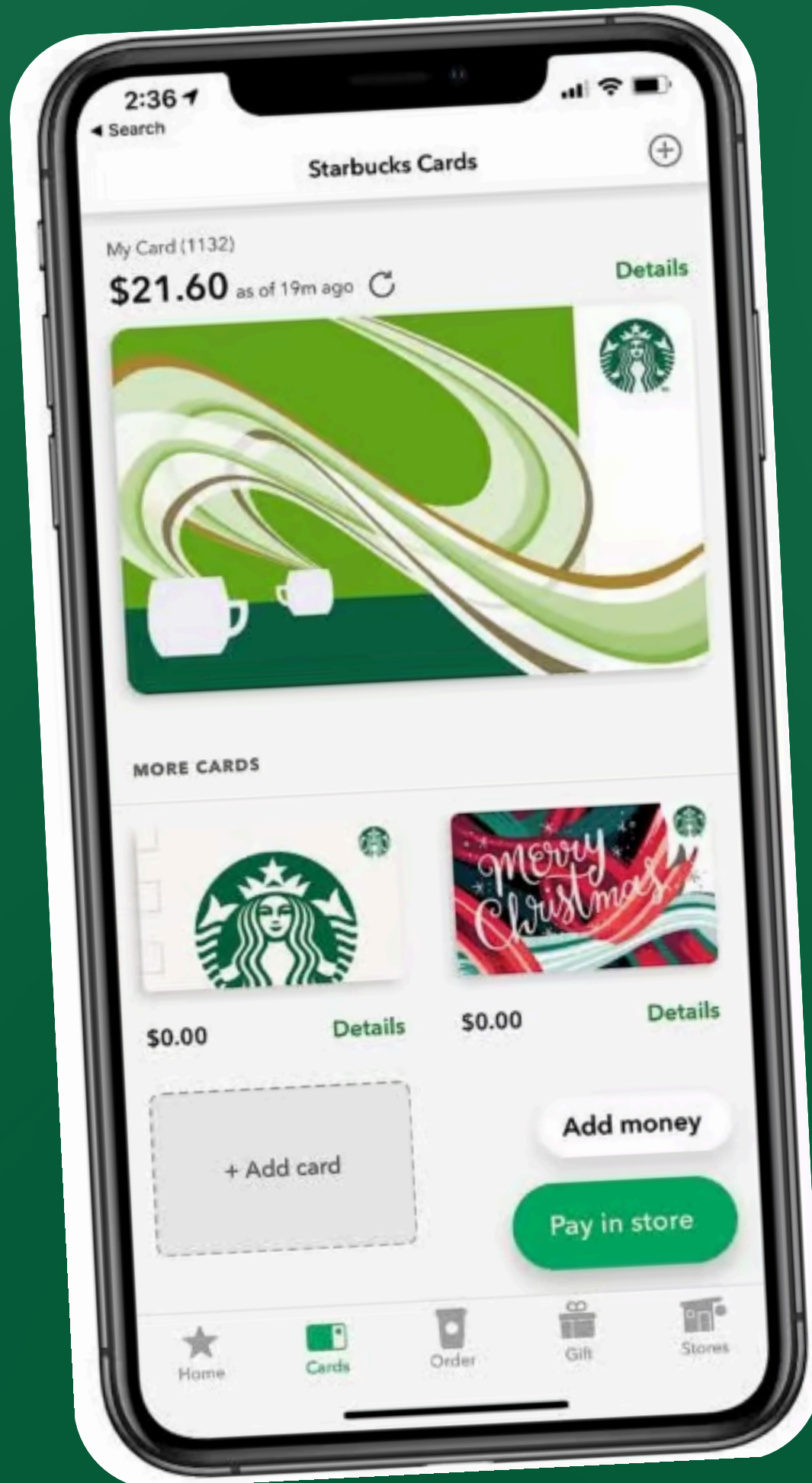
03

WOULD BE THE 385TH LARGEST BANK IN THE U.S.

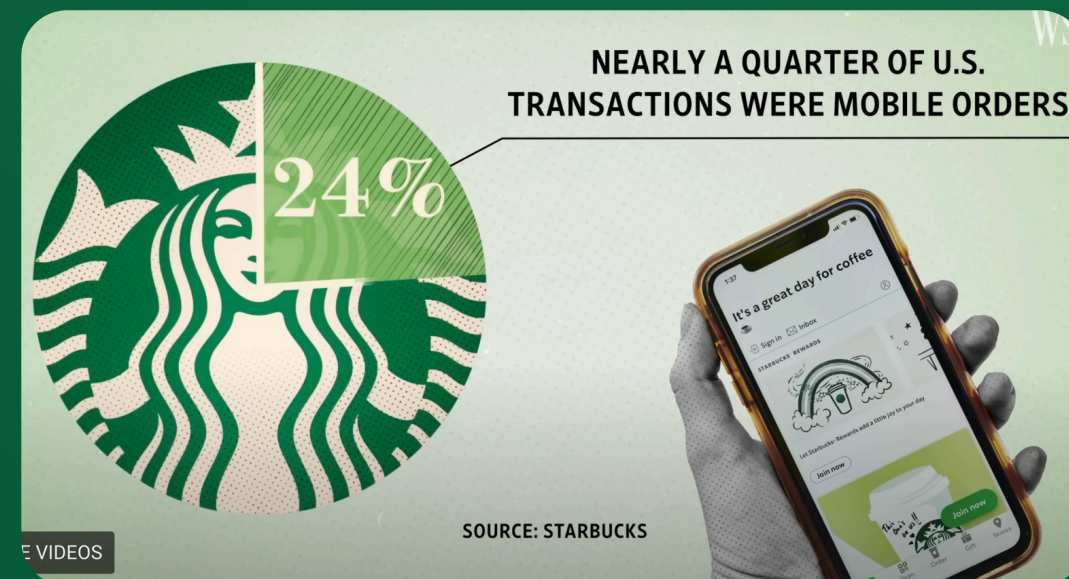
04

USES ONLINE ADVERTISING, WORD OF MOUTH, AND PR TO ACHIEVE PROMOTIONAL GOALS

- STARS
- SALE PROMOTION [5]



THE TIME LINE



- 2009 introduction to mobile app
- Prior to the pandemic, 80% of orders were placed through the mobile app
- 2021 ¼ of all Starbucks transactions in the US were mobile app
- Today 44% of transactions are done with the Starbucks card
- 30,000 chains in 83 countries

HOW IT CHANGED THE BUSINESS

DOWNSIDERS

- Drive Thru and Mobile App
 - Removes that in store experience

SHORT COMINGS

- Cross- selling and upselling becomes difficult
- Increased wait times



OPPORTUNITIES

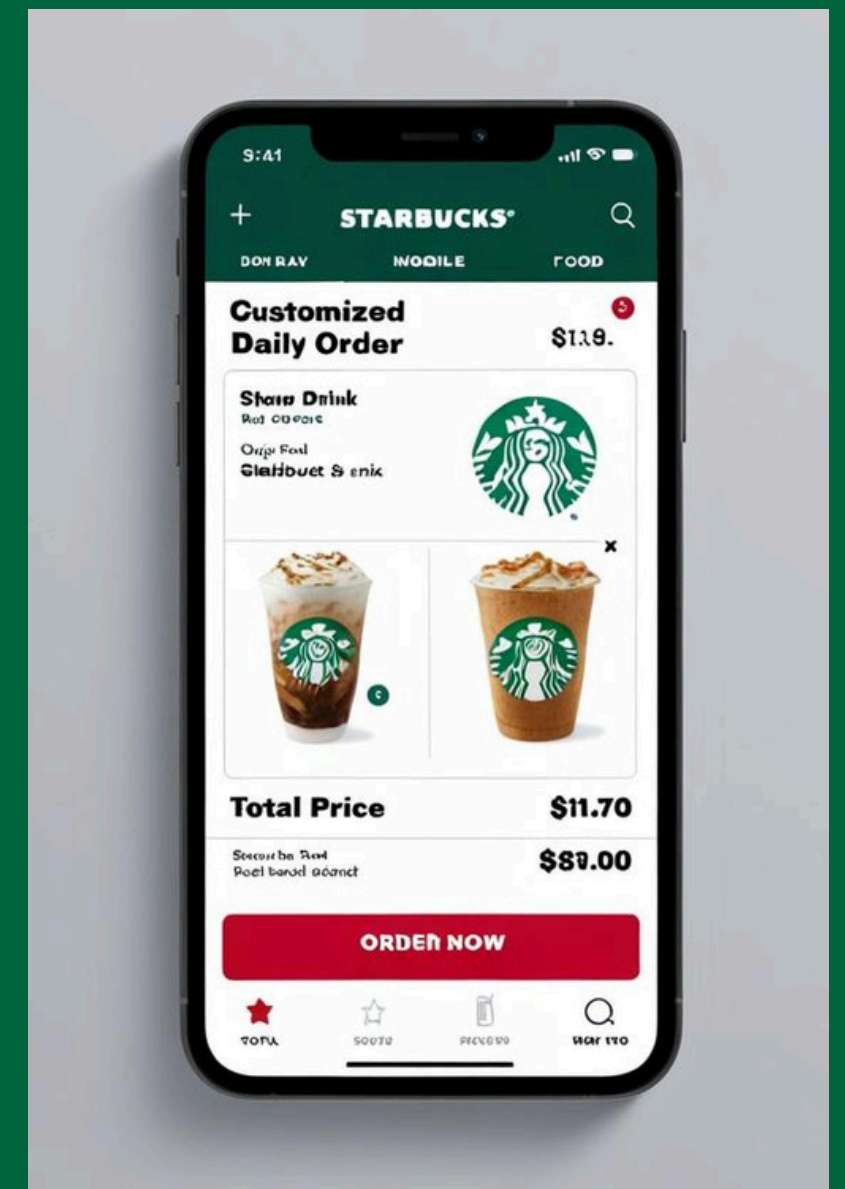


AI ORDER CREATOR

- Would track what you order
- Create customized orders each day on Mobile App
- Allow for mobile users to get more of an in-person experience

COFFEE SUBSCRIPTION

- Subscription service
- Paying upfront \$30 a month get one cup per day
- Incentive: If you add a food item you get a % off of it



THE FUTURE OF DIGITAL CONSUMER INTERACTIONS

WHAT HAPPENS IF
MOBILE APPS BECOME THE
PRIMARY INTERFACE?

- Brand Experience becomes digital first
 - Apps aren't just a tool, they *are* the brand

HOW CAN COMPANIES
DIFFERENTIATE
THEMSELVES?

- Exclusive digital experiences
 - App-only releases
 - Gamified loyalty program
- Micro-Interactions
 - Animations
 - Greetings



RESOURCES

1. YouTube. (n.d.). Starbucks gift cards - marketing case study [Video]. YouTube. <https://www.youtube.com/embed/1-OJX1rwnl8>
2. Statista. (2024). People in the U.S. who have unused gift cards as of January 2024. <https://www.statista.com/statistics/1560254/people-who-have-unused-gift-cards-us/>
3. EdrawMind. (n.d.). Starbucks marketing mix analysis. <https://www.edrawmind.com/article/starbucks-marketing-mix-analysis.html>
4. Statista. (2024). Estimated value of unused gift cards in the United States as of January 2024. <https://www.statista.com/statistics/1560031/unused-gift-card-value-us/>
5. Statista. (2024). Total unused gift card balances in the United States from 2007 to 2023. <https://www.statista.com/statistics/1535498/unused-gift-card-balances/>
6. Starbucks. (n.d.). Our mission. <https://about.starbucks.com/mission/>
7. Worldometer. (n.d.). GDP by country. <https://www.worldometers.info/gdp/gdp-by-country/>
8. Adamczyk, A. (2023, January 18). People are spending \$300 billion a year on this product—some experts say they should stop. MarketWatch. <https://www.marketwatch.com/story/people-are-spending-300-billion-a-year-on-this-product-some-experts-say-they-should-stop-7c73aaff>
9. Statista. (2023). Sales of selected leading coffee house and cafe chains in the United States in 2022. <https://www.statista.com/statistics/919774/sales-of-selected-leading-coffee-house-and-cafe-chains-in-the-us/>
10. Picchi, A. (2023, December 26). Here's what happens to the billions in gift cards that go unused every year. CBS News. <https://www.cbsnews.com/news/gift-cards-unspent-christmas-2023/>

THANK YOU

